Deutsche Bank
Research

Rating
Hold

North America
United States

TMT
Semiconductors

Company
NVIDIA Corporation

Reuters	Bloomberg	Exchange	Ticker
NVDA.OQ	NVDA US	NMS	NVDA

Date
26 February 2025

Forecast Change

Price at 26 Feb 2025 (USD)	131.28
Price target	145.00
52-week range	149.43 - 76.20

F4Q25 (Jan) Results: Strong growth, but at a price

Valuation & Risks

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Key changes

TP	140.00 to 145.00	↑	3.6%
EPS (USD)	2.85 to 2.94	↑	3.2%
Revenue (USDm)	130,163.7 to 130,497.0	↑	0.3%

Source: Deutsche Bank

NVDA delivered another trademark beat/raise, albeit with the shape this quarter differing from the prior quarter, in that the "beat" was slightly smaller than expected ($39.3b vs. DBe $38.9b vs. guidance $37.5b) but with the "raise" ahead of expectations ($43b at the midpoint vs. DBe ~$42b). Importantly, the co delivered ~$11b in Blackwell revenues in F4Q (well ahead of guidance for "several" billions) with expectations for a strong ramp through the FY26 (while also seeing continued sequential growth in Hopper revenues in F4Q). Beyond AI related strength, the company also calmed fears surrounding China related upside, citing revenues at levels far below pre-export controls and expectations for % exposure to remain ~flat going forward. Unfortunately (and perhaps the only primary concern exiting the call), Blackwell-related GM headwinds appear to be more significant than originally anticipated, with F1Q GMs of 71% roughly 1pt below DBe and NVDA's target of ~75% now expected to be achieved in "late FY26 (DBe F4Q) vs. 2H FY26 in prior guide. While NVDA's technological leadership in AI remains strong (with investor optimism likely to rise yet again heading into GTC on March 17th) and its growth impressive in nearly any historical context, we believe much of this goodness is reflected in its share price. Consequently, on slightly higher FY26/27E EPS, we tweak or our P/T from $140 to $145 (P/E of 25x of FY27/CY26E of $5.80), but maintain our Hold rating.

Positives outweigh negatives

Positives: **1.** The company delivered its typical roughly ~$2b beat in F4Q and guided to a better than feared F1Q ($43b vs. sell-side expectations of ~$42b, and the buyside potentially in-line to slightly lower) powered by the rapid ramp of Blackwell ($11b in the quarter) and continued sequential growth in Hopper. **2.** Management dispelled ongoing fears surrounding China being the source of significant upside, stating that as a percentage of Data Center revenues that China generated remained "well below levels seen prior to the onset of export controls" and consistent with recent quarters (DBe ~5-10%). **3.** Not to be forgotten amidst the AI hype, the co's Automotive revenues performed nicely in FY25, growing ~55% y/y to $1.7b, with the co expecting continued growth for the segment in FY26. **Negatives:** **1.** Despite delivering F4Q GM ~in-line with guidance at 73.5%, the co guided F1Q GM down ~-250bps q/q (to 71%), below DBe of down ~-150bps q/q (72%) as Blackwell-related headwinds are more starkly reflected in results than initially expected and a rebound to ~75% GM now seemingly expected a quarter later than before (DBe F4Q). **2.** The co stated that Networking revenues declined

~-3% q/q in F4Q despite believing it would grow after a weak F3Q. The company reiterated this expectation for a return to growth in F1Q26. **3.** Gaming revenue continues to be impacted by supply constraints, decreasing ~-22% q/q (~-11% y/y) in F4Q, but is expected to return to q/q growth in F1Q as supply levels return to normal.

Solid beat/raise

NVDA reported Jan-qtr revenues of $39.3b (+12% q/q, +78% y/y), vs. guidance/ DBe of $37.5b/$39b and the Street at $38.3b. By end market, Data Center revs beat our expectations (+$0.79b above DBe). Gaming revs were below our expectations (-22% q/q vs DBe -4% q/q), Proviz revs of $511m (+5% q/q vs. DBe ~+5% q/q) were ~in-line with our expectations, Auto revs of $570m (+27% q/q vs. DBe +10% q/q) were above our ests, and OEM/Other revs of $126m were above our ests at $92m. PF GMs came in at 73.5%, vs. guidance 73.5%, and PF Opex came in at $3.38b vs. guidance/DBe $3.40b. All told, Jan-qtr EPS totaled $0.89, vs. DBe/Street at $0.87/ $0.84. NVDA guided revenues to $43b (+9% q/q), vs. DBe/Street at $42.36b/ $42.26b. Non-GAAP GM was guided to 71% (vs. DBe 72.0%), with non-GAAP OpEx guided to $3.60b (vs. DBe $3.64b), yielding implied non-GAAP EPS of ~$0.92, vs. DBe/Street at $0.92/$0.92. All told, our CY25E revs/EPS move to $200b (+54% y/y)/ $4.48 from $190b (+46% y/y)/ $4.25 prior, while our CY26E rev/EPS move to $249b (+24% y/y)/ $5.80 from $226b (+19% y/y)/ $5.20.

Maintain Hold rating, raise P/T to $145

On higher estimates, we raise our P/T to $145 and maintain our Hold rating. Our P/T is based on a multiple of ~25x our CY26 EPS estimates (vs. ~27x CY25E EPS prior), on higher estimates. This multiple marks a premium to semi peers to reflect fast growth and strong earnings momentum, but still represents a discount to the co's 5-year average. Upside/downside risks include better-/worse-than-expected Gaming, Data Center, Automotive, and OEM/Other revenue growth, higher-/lower-than-expected profitability, macro, design win/product execution, and market share shifts. Positive/negative company-specific risks include market share gains/ losses in Graphics and Compute & Networking businesses, competitive and pricing pressure, product execution, and impacts to profitability from investments.

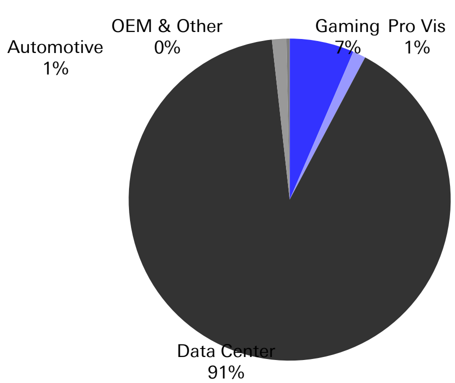
Details

Figure 1: NVIDIA earnings result summary

	Consensus	4Q25 Actual	4Q25 DBe	Comments
Revenue	$38,245	$39,331	$38,998	
q/q	+9%	+12%	+11%	
Gross Margin		*73.5%*	*73.5%*	
Opex		$3,378	$3,405	
Tax Rate		15.0%	16.5%	
EPS	**$0.84**	**$0.89**	**$0.87**	
End Market Segment Results				
Gaming		$2,544	$3,109	
q/q		*-22%*	*-5%*	
Professional Visualization		$511	$510	
q/q		*+5%*	*+5%*	
Datacenter		$35,580	$34,792	
q/q		*+16%*	*+13%*	
Automotive		$570	$494	
q/q		*+27%*	*+10%*	
OEM & Other		$126	$92	
q/q		*+30%*	*-5%*	
Balance Sheet				
Cash and equivalents		$10,687	$19,457	
q/q		*$4,723*	*$13,493*	
Inventory		$10,080	$9,501	
q/q		*+$2426*	*+$1847*	
DIOs		88 days	84 days	
q/q		*+8 days*	*+4 days*	
Cash Flow Statement				
CFO		$16,628	$19,561	
Capex		($1,077)	($823)	
FCF		**$15,551**	**$18,738**	

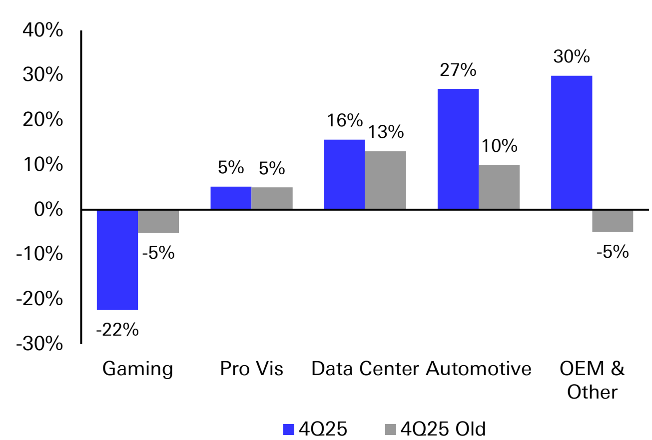
Source : Company data, Bloomberg Finance LP, Deutsche Bank estimates

Figure 2: Reported quarter product mix



Source : Company data, Deutsche Bank estimates

Figure 3: Reported quarter q/q change (Actual vs. DBe)



Source : Company data, Deutsche Bank estimates

Guidance and estimate revisions

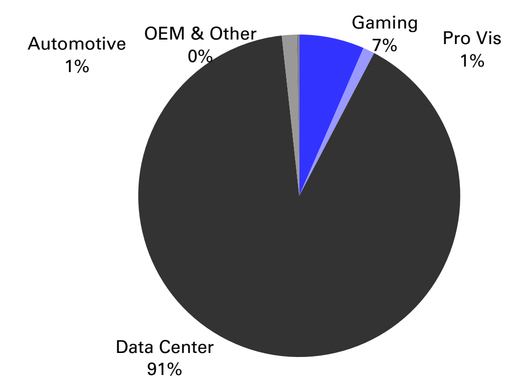
NVIDIA provided the following guidance:

Figure 4: NVIDIA quarterly guidance

Guidance item	Guidance	Prior DBe
Revenues	$43b +/-2%	$42.4b
q/q change (implied)	+7-11% q/q	+9%
Revenue Midpoint ($ in b)	$43.00	$42.36
Non-GAAP GM%	71% +/- 50bps	72.0%
PF opex (m)	$3,600	$3,228
Other income/(expense)	$400m income	$612m income
Tax rate	17% +/- 1%	17.0%
Gaming	--	-5%
Datacenter	--	10%
Automotive	--	7%
Provisualization	--	5%

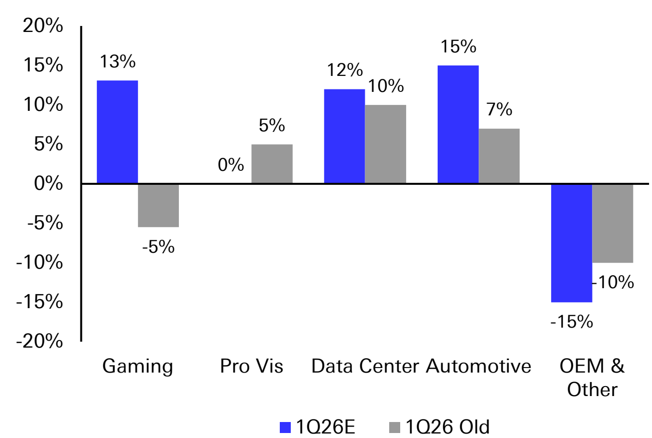
Source : Company reports, Deutsche Bank estimates

Figure 5: Fwd qtr est product segment mix



Source : Deutsche Bank estimates

Figure 6: Fwd qtr est segment growth (new vs. old)



Source : Deutsche Bank estimates

Given NVDA's guidance, we adjust our estimates as illustrated below:

Figure 7: NVIDIA estimates summary

	New 1Q26E	Old 1Q26E	New CY25E	Old CY25E	New CY26E	Old CY26E
Revenue	**$44,000**	$42,357	**$200,842**	$189,594	**$248,901**	$226,118
q/q	***+12%***	*+9%*	**--**	--	**--**	--
y/y	***+69%***	*+63%*	***+54%***	*+46%*	***+24%***	*+19%*
Gross Margin	**71.0%**	72.0%	**72.8%**	73.7%	**74.5%**	74.0%
EPS	**$0.94**	$0.92	**$4.48**	$4.25	**$5.80**	$5.20

Source : Deutsche Bank estimates

Figure 8: NVIDIA Income Statement ($ in millions, except per share data)

	Apr-24 1Q25	Jul-24 2Q25	Oct-24 3Q25	Jan-25 4Q25	Year 2025	Apr-25 1Q26E	Jul-25 2Q26E	Oct-25 3Q26E	Jan-26 4Q26E	Year 2026E	Apr-26 1Q27E	Jul-26 2Q27E	Oct-26 3Q27E	Jan-27 4Q27E	Year 2027E
Revenues	$26,044	$30,040	$35,082	$39,331	**$130,497**	$44,000	$47,911	$52,349	$56,582	**$200,842**	$56,749	$60,871	$64,316	$66,966	**$248,901**
Depreciation	270	289	362	425	**1,346**	430	435	440	445	**1,750**	450	455	460	465	**1,830**
Cost of Goods	5,214	7,022	8,398	10,012	**30,646**	12,310	13,205	13,634	13,713	**52,862**	13,847	15,041	16,110	16,687	**61,684**
Gross Profit (Non-GAAP)	20,560	22,729	26,322	28,894	**98,505**	31,260	34,270	38,276	42,424	**146,230**	42,452	45,375	47,746	49,815	**185,387**
Research and Development (Non-GAAP)	1,981	2,241	2,457	2,732	**9,411**	2,946	3,112	3,348	3,449	**12,856**	3,601	3,863	4,082	4,317	**15,863**
Selling, General and Admin. (Non-GAAP)	520	551	589	646	**2,306**	657	715	781	844	**2,998**	904	969	1,024	1,066	**3,964**
Other Non-GAAP Adjustments	0	0	0	0	**0**	0	0	0	0	**0**	0	0	0	0	**0**
Total Operating Expenses (Non-GAAP)	2,501	2,792	3,046	3,378	**11,717**	3,603	3,827	4,130	4,294	**15,854**	4,505	4,832	5,106	5,383	**19,826**
Operating Income	18,059	19,937	23,276	25,516	**86,788**	27,657	30,443	34,146	38,130	**130,377**	37,947	40,542	42,640	44,431	**165,561**
Interest Income	359	444	472	511	**1,786**	466	599	764	979	**2,807**	1,163	1,411	1,655	1,939	**6,168**
Interest Expense on ST Debt	0	0	0	0	**0**	0	0	0	0	**0**	0	0	0	0	**0**
Interest Expense on LT Debt	64	61	61	61	**247**	61	61	61	61	**244**	61	61	61	61	**244**
Interest Expense on Conv. Debt	0	0	0	0	**0**	0	0	0	0	**0**	0	0	0	0	**0**
Total Interest Expense	64	61	61	61	**247**	61	61	61	61	**244**	61	61	61	61	**244**
Other Non-oper. Exp. / (Inc.)	(7)	3	0	(7)	**(11)**	0	0	0	0	**0**	0	0	0	0	**0**
Pretax Income	18,361	20,317	23,687	25,973	**88,338**	28,062	30,981	34,849	39,048	**132,939**	39,049	41,892	44,234	46,310	**171,485**
Income Tax Expense / (Benefit)	3,123	3,365	3,677	3,907	**14,072**	4,771	5,267	5,924	6,638	**22,600**	6,638	7,122	7,520	7,873	**29,152**
Non-GAAP Net Income for Diluted EPS	$15,238	$16,952	$20,010	$22,066	**$74,266**	$23,291	$25,714	$28,924	$32,410	**$110,340**	$32,410	$34,771	$36,714	$38,437	**$142,332**
PF Basic EPS	**$0.62**	**$0.69**	**$0.82**	**$0.90**	**$3.02**	**$0.95**	**$1.05**	**$1.18**	**$1.33**	**$4.52**	**$1.33**	**$1.43**	**$1.51**	**$1.58**	**$5.85**
PF Fully Diluted EPS	**$0.61**	**$0.68**	**$0.81**	**$0.89**	**$2.99**	**$0.94**	**$1.04**	**$1.17**	**$1.32**	**$4.48**	**$1.32**	**$1.42**	**$1.50**	**$1.57**	**$5.80**
Weighted Average Shares Out. (in '000s)	24,620,000	24,578,000	24,533,000	24,489,000	**24,555,000**	24,464,000	24,439,000	24,414,000	24,389,000	**24,426,500**	24,364,000	24,339,000	24,314,000	24,289,000	**24,326,500**
Diluted Shares (in '000s)	24,890,000	24,848,000	24,774,000	24,706,000	**24,804,500**	24,681,000	24,656,000	24,631,000	24,606,000	**24,643,500**	24,581,000	24,556,000	24,531,000	24,506,000	**24,543,500**
					4%					**3%**					**3%**
Net ESO Expense	$1,011	$1,154	$1,252	$1,321	**$4,738**	$1,600	$1,680	$1,764	$1,764	**$6,808**	$1,852	$1,945	$2,042	$2,042	**$7,881**
Adjusted Basic GAAP EPS (incl-ESO)	$0.58	$0.64	$0.76	$0.85	**$2.83**	$0.89	$0.98	$1.11	$1.26	**$4.24**	$1.25	$1.35	$1.43	$1.50	**$5.53**
Adjusted Diluted GAAP EPS (incl-ESO)	$0.57	$0.64	$0.76	$0.84	**$2.80**	$0.88	$0.97	$1.10	$1.25	**$4.20**	$1.24	$1.34	$1.41	$1.49	**$5.48**
Common Dividends Per Share	$0.00	$0.01	$0.01	$0.01	**$0.03**	$0.01	$0.01	$0.01	$0.01	**$0.04**	$0.01	$0.01	$0.01	$0.01	**$0.04**
Nonrecurring Charges	$71	($51)	$119	($565)	**($426)**	$0	$0	$0	$0	**$0**	$0	$0	$0	$0	**$0**
Tax Effect of Charges	(725)	(750)	(670)	(781)	**(2,926)**	0	0	0	0	**0**	0	0	0	0	**0**
GAAP Net Inc. for Dil. EPS	$14,881	$16,599	$19,309	$22,091	**$72,880**	$21,691	$24,034	$27,160	$30,646	**$103,532**	$30,558	$32,826	$34,672	$36,395	**$134,451**
GAAP Basic EPS	$0.60	$0.68	$0.79	$0.90	**$2.97**	$0.89	$0.98	$1.11	$1.26	**$4.24**	$1.25	$1.35	$1.43	$1.50	**$5.53**
GAAP Diluted EPS	$0.60	$0.67	$0.78	$0.89	**$2.94**	$0.88	$0.97	$1.10	$1.25	**$4.20**	$1.24	$1.34	$1.41	$1.49	**$5.48**
EBITDA	18,336	20,223	23,599	25,905	**88,063**	28,087	30,878	34,586	38,575	**132,127**	38,397	40,997	43,100	44,896	**167,391**
EBIT	18,066	19,934	23,276	25,523	**86,799**	27,657	30,443	34,146	38,130	**130,377**	37,947	40,542	42,640	44,431	**165,561**
TTM Revenues	79,774	96,307	113,269	130,497	**130,497**	148,453	166,324	183,591	200,842	**200,842**	213,591	226,550	238,517	248,901	**248,901**
TTM EBITDA	53,136	65,357	77,158	88,063	**88,063**	97,814	108,469	119,456	132,127	**132,127**	142,436	152,556	161,070	167,391	**167,391**
TTM EBIT	52,151	64,311	76,026	86,799	**86,799**	96,390	106,899	117,769	130,377	**130,377**	140,666	150,766	159,260	165,561	**165,561**
TTM Pretax Income	52,970	65,391	77,346	88,338	**88,338**	98,039	108,703	119,864	132,939	**132,939**	143,926	154,838	164,223	171,485	**171,485**
TTM Net Income	44,837	55,049	65,039	74,266	**74,266**	82,319	91,081	99,996	110,340	**110,340**	119,459	128,515	136,305	142,332	**142,332**
TTM Dil. EPS	$1.71	$2.13	$2.54	$2.94	**$2.94**	$3.22	$3.53	$3.85	$4.20	**$4.20**	$4.57	$4.93	$5.24	$5.48	**$5.48**
TTM Gross Profit	60,716	73,831	86,570	98,505	**98,505**	109,205	120,747	132,700	146,230	**146,230**	157,422	168,527	177,997	185,387	**185,387**
(Int Xp-Int inc)/Shr	0.01	0.02	0.02	0.02	**0.06**	0.02	0.02	0.03	0.04	**0.10**	0.04	0.05	0.06	0.08	**0.24**
Net of Tax	0.01	0.01	0.01	0.02	**0.05**	0.01	0.02	0.02	0.03	**0.09**	0.04	0.05	0.05	0.06	**0.20**
Revenue % Change - Sequential	17.8%	15.3%	16.8%	12.1%	**NM**	11.9%	8.9%	9.3%	8.1%	**NM**	0.3%	7.3%	5.7%	4.1%	**NM**
EPS % Change - Sequential	18.7%	11.4%	18.4%	10.6%	**NM**	5.7%	10.5%	12.6%	12.2%	**NM**	0.1%	7.4%	5.7%	4.8%	**NM**
Revenue % Changes, yr. over yr.	262.1%	122.4%	93.6%	77.9%	**114.2%**	68.9%	59.5%	49.2%	43.9%	**53.9%**	29.0%	27.1%	22.9%	18.4%	**23.9%**
EPS % Change, yr. over yr.	461.9%	153.0%	101.0%	73.2%	**131.0%**	54.1%	52.9%	45.4%	47.5%	**49.5%**	39.7%	35.8%	27.4%	19.1%	**29.5%**
Gross Margin	78.9%	75.7%	75.0%	73.5%	**75.5%**	71.0%	71.5%	73.1%	75.0%	**72.8%**	74.8%	74.5%	74.2%	74.4%	**74.5%**
R&D/Sales	7.6	7.5	7.0	6.9	**7.2**	6.7	6.5	6.4	6.1	**6.4**	6.3	6.3	6.3	6.4	**6.4**
SG&A/Sales	2.0	1.8	1.7	1.6	**1.8**	1.5	1.5	1.5	1.5	**1.5**	1.6	1.6	1.6	1.6	**1.6**
Operating Expenses	9.6	9.3	8.7	8.6	**9.0**	8.2	8.0	7.9	7.6	**7.9**	7.9	7.9	7.9	8.0	**8.0**
Operating Margin	69.3	66.4	66.3	64.9	**66.5**	62.9	63.5	65.2	67.4	**64.9**	66.9	66.6	66.3	66.3	**66.5**
Non-Operating Expenses/Sales	1.6	1.7	1.5	1.4	**1.5**	1.2	1.4	1.6	1.8	**1.5**	2.2	2.4	2.7	3.0	**2.6**
Pretax Margin	70.5	67.6	67.5	66.0	**67.7**	63.8	64.7	66.6	69.0	**66.2**	68.8	68.8	68.8	69.2	**68.9**
Tax Rate	17.0	16.6	15.5	15.0	**15.9**	17.0	17.0	17.0	17.0	**17.0**	17.0	17.0	17.0	17.0	**17.0**
Net Margin	58.5	56.4	57.0	56.1	**56.9**	52.9	53.7	55.3	57.3	**54.9**	57.1	57.1	57.1	57.4	**57.2**

Source : Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
NVIDIA Corporation	NVDA.OQ	131.28 (USD) 26 Feb 2025	8, 14, 15, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

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Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States.See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

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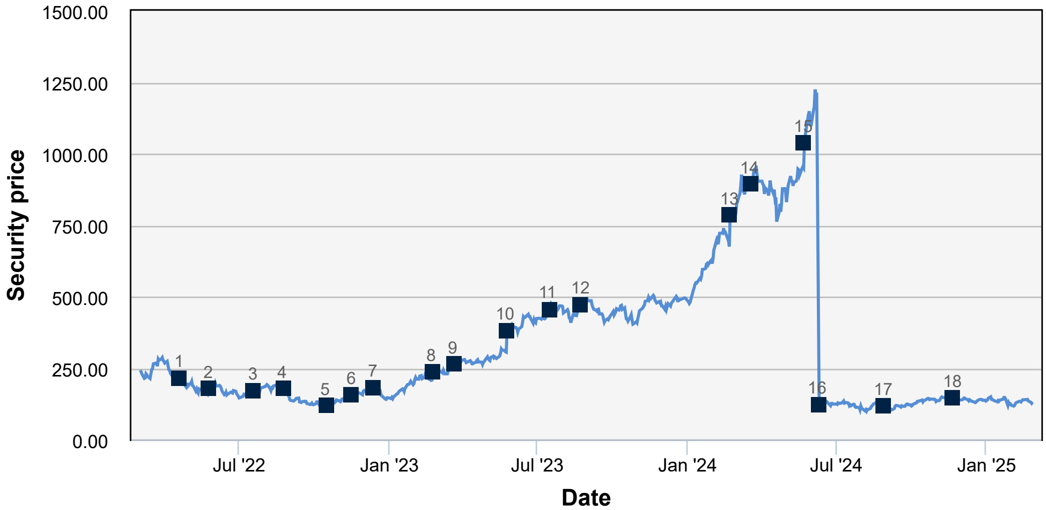
Historical recommendations and target price: NVIDIA Corporation (NVDA.OQ)

(as of 02/26/2025)



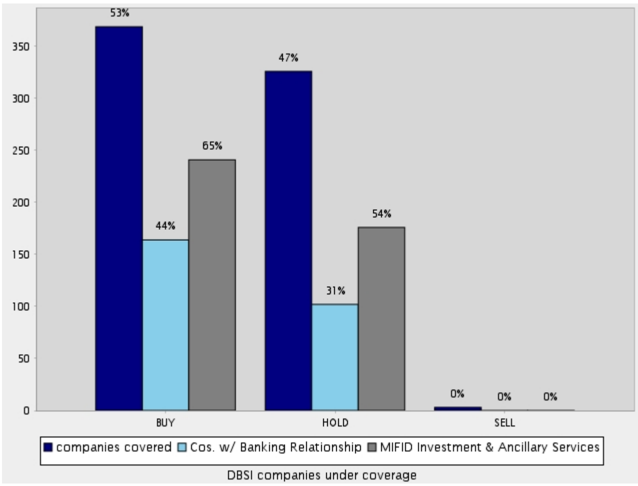
Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1. 04/20/2022 Hold, Target Price Change USD 255.00, Current Price USD 214.82 Ross Seymore
2. 05/26/2022 Hold, Target Price Change USD 190.00, Current Price USD 178.51 Ross Seymore
3. 07/19/2022 Hold, Target Price Change USD 175.00, Current Price USD 169.92 Ross Seymore
4. 08/25/2022 Hold, Target Price Change USD 165.00, Current Price USD 179.13 Ross Seymore
5. 10/17/2022 Hold, Target Price Change USD 140.00, Current Price USD 118.88 Ross Seymore
6. 11/17/2022 Hold, Target Price Change USD 150.00, Current Price USD 156.77 Ross Seymore
7. 12/13/2022 Hold, Target Price Change USD 170.00, Current Price USD 180.72 Ross Seymore
8. 02/23/2023 Hold, Target Price Change USD 200.00, Current Price USD 236.64 Ross Seymore
9. 03/22/2023 Hold, Target Price Change USD 220.00, Current Price USD 264.68 Ross Seymore
10. 05/25/2023 Hold, Target Price Change USD 390.00, Current Price USD 379.80 Ross Seymore
11. 07/16/2023 Hold, Target Price Change USD 440.00, Current Price USD 454.69 Ross Seymore
12. 08/24/2023 Hold, Target Price Change USD 560.00, Current Price USD 471.63 Ross Seymore
13. 02/22/2024 Hold, Target Price Change USD 720.00, Current Price USD 785.38 Ross Seymore
14. 03/19/2024 Hold, Target Price Change USD 850.00, Current Price USD 893.98 Ross Seymore
15. 05/23/2024 Hold, Target Price Change USD 1000.00, Current Price USD 1037.99 Ross Seymore
16. 06/10/2024 Hold, Target Price Change USD 100.00, Current Price USD 121.79 Joe Schwab
17. 08/29/2024 Hold, Target Price Change USD 115.00, Current Price USD 117.59 Ross Seymore
18. 11/21/2024 Hold, Target Price Change USD 140.00, Current Price USD 146.67 Ross Seymore

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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